

Form No: HCJD/C-121
ORDER SHEET
IN THE LAHORE HIGH COURT, MULTAN BENCH
MULTAN
JUDICIAL DEPARTMENT

EFA No. 24 of 2016

M/s. Metro Petroleum etc
versus

Askari Bank etc

S. No. of order/ Proceeding	Date of order/ Proceeding	Order with signature of Judge, and that of parties or counsel, where necessary
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21.03.2017	Malik Muhammad Latif Khokhar, Advocate for appellants. M/s. Malik Muhammad Kashif Rajwana, M. Rafique Khan and Malik M.H. Rajwana, Advocates for respondents.
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This appeal under Section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 is directed against the order dated 19.10.2016 passed by Judge Banking Court, Sahiwal whereby the objection petition filed by the appellants against the auction of property in execution of decree was dismissed.

2. The brief facts of the case are that the appellants are judgment debtors. In execution proceedings the court appointed a court auctioneer for auction of the property in which highest bidder Sh. Shehzad Ahmad Farooq offered to purchase the suit property for Rs.4,76,00,000/-. The appellants filed objection petition claiming therein that they had

not been issued notice under Order 21 Rule 66 CPC and the auction took place secretly. This contention of the appellant/judgment debtors of secret auction is not sustainable as Nabila Farrukh, appellant No.2 on 26.04.2016 filed an application seeking suspension of auction proceedings to be conducted on 25.05.2016. The other contention raised by the appellants was that the property had been sold without reserve price at inadequate consideration. The reserve price was fixed as Rs.3,75,70,000/- and the bid started from that amount whereupon the highest bidder offered Rs.4,76,00,000/-. The inadequacy of auction price is never a good ground for setting-aside auction proceedings because it is a known fact that due to intricacies involved in the procedure of auction, the properties do not often fetch high prices. Besides the property has been auctioned at a higher price than the reserve price. Therefore, this ground is not available for setting-aside the auction of the property. Reliance in this regard may be placed on Muhammad Rafiq through Attorney vs. Federation of Pakistan through Secretary, Law and Parliamentary Affairs and 2 others (2013 CLC 1679) and Messrs Ashraf Agro and others vs. H.B.L. (2008 CLD 449).

3. The learned counsel for the appellants relied upon evaluation report dated 09.06.2016 prepared by Al-Noor Consultants to state that value of property is Rs.70,000,000/- but this report cannot be relied upon as it has been prepared after the auction has already taken place on 25.05.2016.

4. The objection raised by the appellants that consideration of auction has not been paid is not justified as the amount is already deposited by the auction purchaser as observed from CM No.2470-C of 2016 which was placed for hearing before this Court on 20.12.2016 wherein the appellants sought stay order by stating that the amount recovered on the basis of auction is being claimed by respondent bank during the pendency of appeal.

5. The learned counsel on behalf of court auctioneer has argued that he had already deposited the entire bid money (Rs.4,76,00,000/-) in the court alongwith tax, therefore, the auction be confirmed and not be set-aside.

6. The auction proceedings were duly published through daily "Jang", Lahore which also has circulation in Sahiwal city besides court auctioneer also posted posters to invite public for joining

auction. The court auctioneer has also reported that respondent No.4, namely, Rashid Waheed also remained present during the auction proceedings but refused to sign upon the attendance sheet. No illegality in the conduct and procedure of the auction has been pointed out.

7. Resultantly, there is no merit in the appeal filed by the appellants which is accordingly ***dismissed.***

(Shahid Karim)
Judge

(Muzamil Akhtar Shabir)
Judge

Naveed*